

IUBH International University of Applied Sciences (Campus Berlin)

Advanced Research Methods

Summer Semester 2018

Continuous Examination (50%)

"Industrial Analysis – Personal Luxury Goods Industry" by Verhani, V. & Batra, K. (2018) - A Critical Review

Written by:

Vinay K Verhani, ID – 3180882, Address: Studentendorf Schlactensee, Haus-17, Zim. 01.17.01.01.01, Wasgenstr. -75, Berlin-14129

&

Kunal Batra. ID – 3180722, Address: 310607, Alfred jung Str. -14, Berlin-10369

Supervisor: Prof. Dr. Jan Pieper

Date of submission: 21.07.2018

Number of words (excluding cover page, table of content, and reference list): 3859

Abstract

The report indicates the market/industry structure of 'personal luxury goods'. The report explains the framework of porters' five forces that shape the industry along with history and base of global luxury goods industry. The analysis is carried out by Vinay K Verhani and Kunal Batra for the sole purpose of analysing the industry structure. The report starts with an introduction to the concept of luxury, followed by market segmentation and the leading companies in the industry and lastly analysing the porter's five forces framework that have shaped the luxury goods industry globally. Also, included is the industry expert Mr. Neeraj Walia's views (via a questionnaire), he is currently the CEO for Mont Blanc India and has been a part of luxury industry for past 15 years. The overall industry is very challenging but highly profitable and has a prevalent fierce rivalry among the players in the market.

Table of Contents

Abstract 2
Table of Contents 3
Executive Summary 4
1 Industry Overview 5
1.1 The concept of 'luxury' 5
1.2 Business of Luxury 6
2 Personal Luxury Goods Market 8
2.1 Market Segmentation 8
2.2 The Leading companies in the market 11
3 Porters five forces 12
4 Expert Opinion 14
5 Future outlook of personal luxury goods industry 15
6 Conclusion 16
References 17
Declaration of Authenticity 18

Executive Summary

Market value

The global personal luxury goods market grew by 12% in 2017 compared to the previous year to reach a value of Euro 262 bn. And despite global economic conditions, the industry is robust and is growing considerably each year.

Category segmentation

Accessories business is the largest segment of the global personal luxury goods market, accounting for 30% of the market's total value.

Geography segmentation

USA accounts for 32% of the global market share of personal luxury goods, valued at 78.6 billion euros, as per 2015. However, the biggest growth of past years is coming from emerging economies like India, China and South Africa.

Market players

LVMH is the largest company for personal luxury goods globally, that has a more than 30% of the global market share, with total revenue of 42,636 million euros (2017).

Porter's five forces

The personal luxury goods industry is extremely robust towards its profitability as the effect of the porter's five forces increases profitability for the industry making it very attractive.

1 Industry Overview

1.1 The concept of 'luxury'

The concept of luxury has its roots in history. In the great civilisations of the ancient world, luxury goods were always linked with wealth, uniqueness and power, as well as the satisfaction of non-basic requirements. According to the Oxford Latin dictionary, the term 'luxury' comes from the Latin 'luxus', which means "soft or extravagant living, sumptuousness, opulence", and shares a root with the term "luxuria", which means "excess, lasciviousness, negative self-indulgence"

The transformation of luxury into precious objects and lavish living was necessary to open the realm of luxury to any social class. Finally, the second industrial revolution at the end of the nineteenth century gave the concept of luxury the modern meaning of the 'habit of indulgence in what is choice or costly' or 'something enjoyable or comfortable beyond the necessities of life'. This transformation contributed to the different interpretations of the concept of luxury, such as status symbol, personal indulgence, and leisure time, among others. (Okonkwo, 2007)

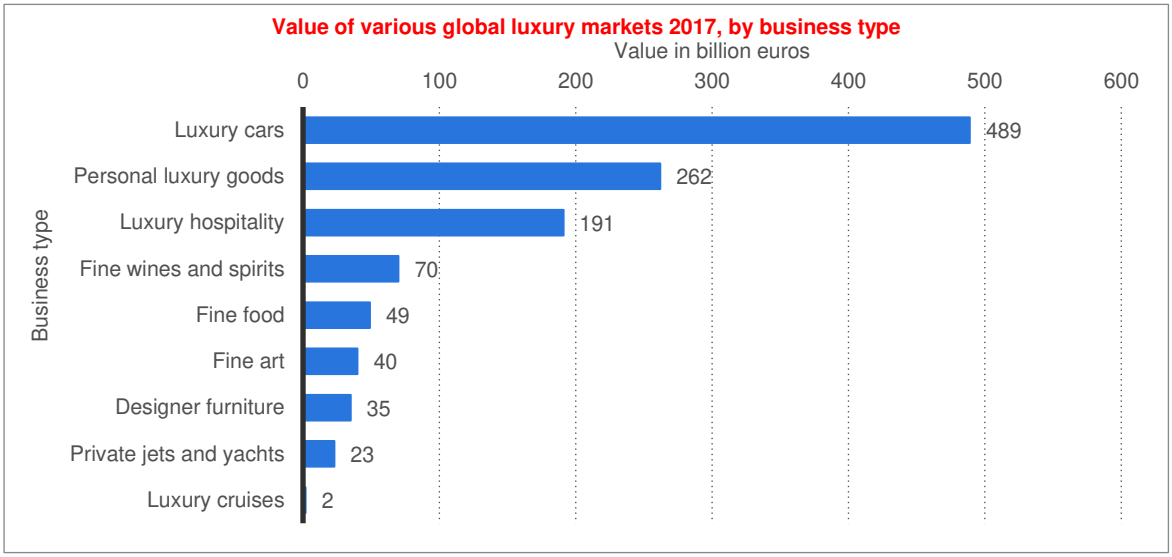
'Luxury' has become more ambiguous due to the increased accessibility of 'luxury' products in the recent years. This change has led to new perspectives of what luxury item actually are. The characterisation of what 'luxury' can differ according to an individual or circumstances, making it difficult to provide a universal definition. As per Brun & Castelli (2013), historically luxury goods were always associated with wealth, exclusivity and power, as well as the satisfaction of non-basic requirements. Luxury is defined as 'a state of great comfort or elegance, especially when involving great expense' (Oxford dictionary, 2018). Both definitions play a significant part that price plays suggesting that something of luxury comes at a 'great expense'. On the further hand, Prendergast & Wong (2003) initiate that price is not the key principle in consideration when purchasing higher-end products but additional so the quality. This concept permits companies to charge a premium price bearing in mind the quality meets the buyers' expectations.

There is no other sector like luxury, the higher the price the more customers' desire will be. This is because luxury is a compendium of tangible product and intangible benefits like emotional fulfilment from others' appreciation and respect. (Okonkwo, 2007)

1.2 Business of Luxury

The global business of luxury has multiple categories, with reference to the report published by Bain & company 'luxury goods industry worldwide statista dossier', the global luxury market can be divided into 9 business types i.e. Luxury cars, personal luxury goods, luxury hospitality, fine wines and spirits, fine food, fine art, designer furniture, private jets and yachts & lastly luxury cruises. Each of the above-mentioned luxury business categories can be treated as individual industry as an industry is defined as a group of organisations producing products or services that are perceived by patrons as meeting the same needs.

The below graph shows the market size of each industry in Billion euros and the personal luxury goods market is valued at 262 billion euros globally.



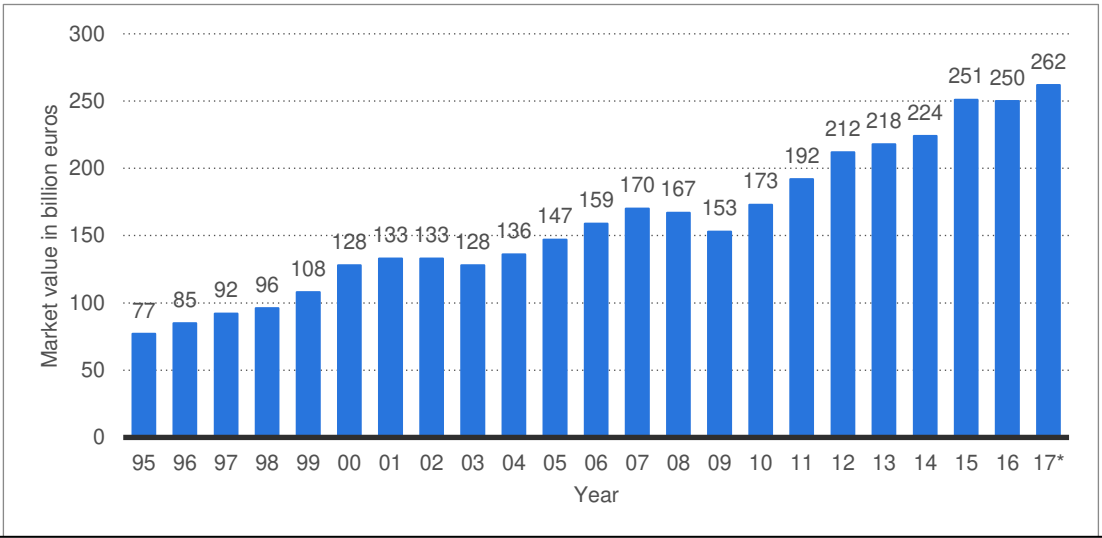
Published by: Bain & Company
Source: Luxury goods worldwide market study. Fall-winter 2017. Page-6
Website: https://www.statista.com/statistics/246115/value-of-various-global-luxury-markets-by-market-type/

For the sole purpose of this industrial analysis report, we'll analyse the 'personal luxury goods' industry.

Personal Luxury Goods: Personal luxury goods industry comprises of luxury items purchased for personal use. These include:

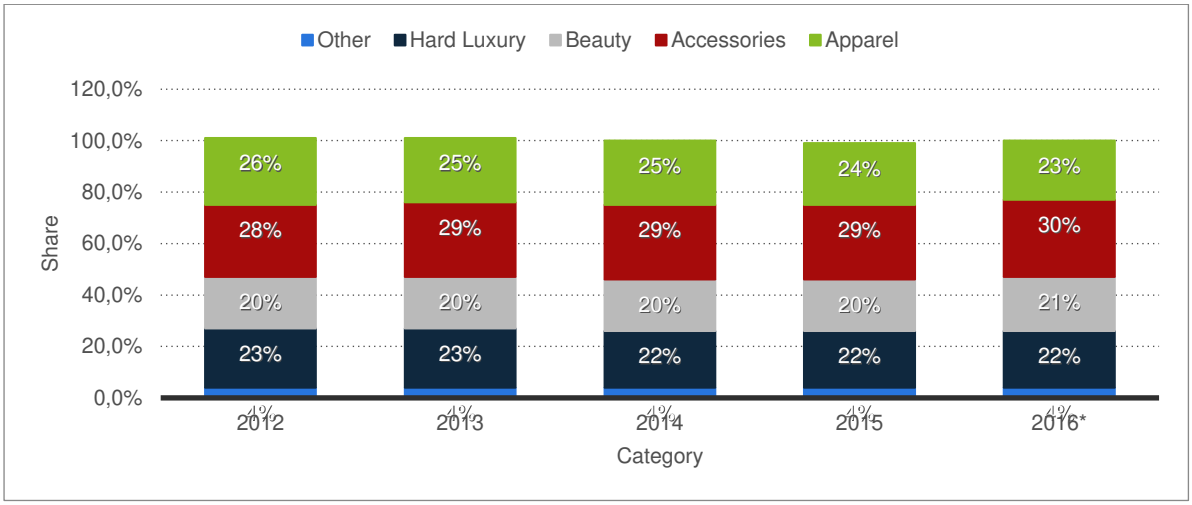
- Apparel (Fashion and footwear)
- Accessories (Bags & Leather goods)
- Beauty (Cosmetics & Fragrances)
- Hard luxury (Watches and jewellery)
- Others (Other personal use products)

The below graph, published by Bain & Company shows the tremendous growth in the personal luxury goods industry for the last 22 years. The industry is growing gradually and much visible is the 20% growth in the personal luxury goods industry worldwide in the last 5 years. The market was valued at 218 billion euros in the year 2013 and its estimated value for 2017 was 262 billion euros worldwide.



Published by: Bain & Company; Fondazione Altagamma
Source: Altagamma 2016 Worldwide Luxury Market Montior, page 35
Website: https://www.statista.com/statistics/245653/share-of-the-luxury-goods-market-worldwide-by-product-category/

Another interesting illustration published by Bain & company is the share of each product category in the global market of 'personal luxury goods'. In the most recent year – 2016, accessories alone have 30% of the global market share, followed by 23% share of apparel. However hard luxury and beauty almost have a marginal difference between the market share of 22% and 21% respectively. Resulting in a small fraction of 5% market share for other product category belonging to the personal luxury goods category. Considering the trend of last 5 years, it can also be observed that the individual market share of the product categories has not changed drastically with just a small fluctuation in the market share by mere 1% or 2%.



Published by: Bain & Company
Source: Luxury goods worldwide market study. Fall-winter 2017. Page-6
Website: https://www-statista-com.pxz.iubh.de:8443/statistics/266503/value-of-the-personal-luxury-goods-market-worldwide/

2 Personal Luxury Goods Market

2.1 Market Segmentation

As per the 'global powers of luxury goods-2017' report by Deloitte, the economic environment for luxury brands continues to be challenging, with slow evolution in major developed countries, high levels of debt in emerging economies, low inflation in rich countries, a nationalist criticism against globalization, troubled credit markets in several countries, and worsening demographics in many.

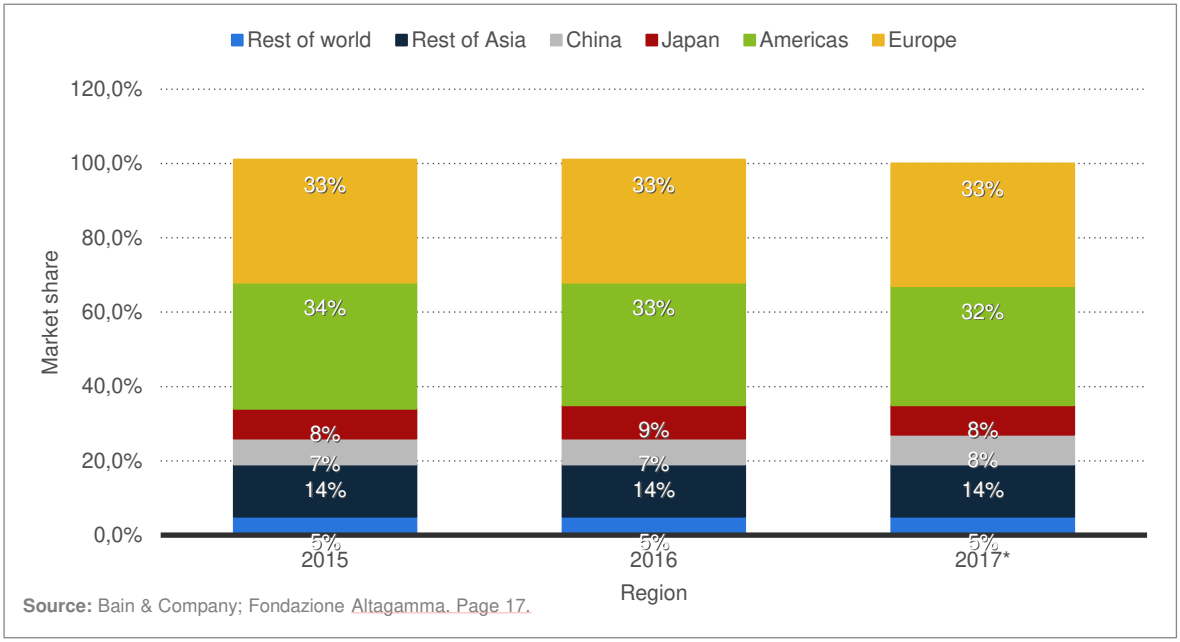
Yet despite the economic conditions, the sector is robust, and clients are still making luxury buying, especially in developing markets. The US is the leading luxury goods market, and with the slowdown in sales in China, it is likely to remain so for the next few years. A backdrop of uncertainty - Brexit and terrorist attacks in several European cities - has discouraged many budding buyers from travelling to key shopping destinations in the US and Europe.

For the sole purpose of this report, we will look at the global luxury goods market into two market segments:

- Mature markets
- Emerging markets

Mature markets are ideally the developed economies of the world i.e. US, EU & Japan and the emerging markets would consist of developing countries like UAE, China & Russia and few other Asian countries.

To understand the market share, the geographic segmentation of the market is illustrated in the chart below; Europe accounts for 33% of the market share and USA accounts for 32% market share. China, rest of Asia and other countries together account for 26% market share globally.



Source: Bain & Company; Fondazione Altagamma. Page 17.

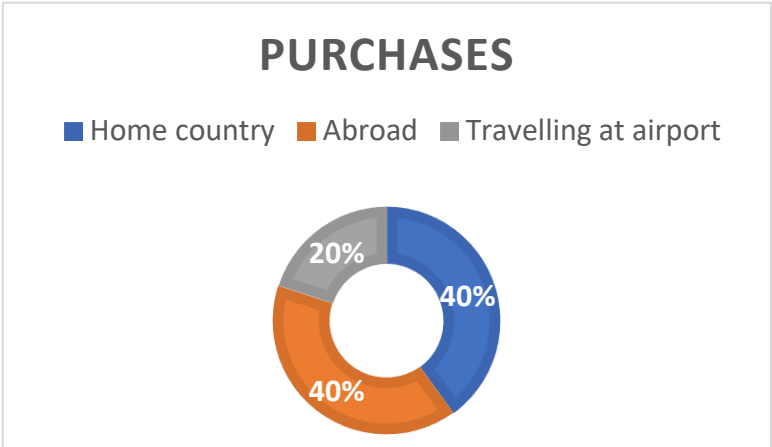
Mature Markets

The Eurozone economy is rising at a modest pace. Yet regardless of the aggressive monetary policy of the European Central Bank, investment is weak and unemployment high. Even though the European luxury market has moved on from the utmost tough years, national economies are improving at diverse rates, with countries in southern Europe still suffering from long-lasting unemployment and low customer confidence. Overall market development is slow but stable, with both domestic consumers and wealthy travelers cautious about expenditure against a background of uncertainty and safety worries after terrorist attacks in numerous European cities, many potential overseas customers are being discouraged from travelling to main shopping destinations in Europe. For now, Europe's luxury segment is probable to continue a modest progress path.

Considering US, the value of the dollar has been helpful for the local market, facilitating to keep down the prices of imported goods, and thereby increasing customer purchasing power. However, although the enhanced jobs market and rising pay have continued local consumption, US consumers are opening to cut back on discretionary expenditure on clothing and other personal accessories, in the context of doubt about where the government's policies are heading as per the 'global powers of luxury goods-2017' report by Deloitte.

Emerging Markets

Emerging markets like UAE, China, India, and rest of Asia continues to have a good growth compared to previous years (As per the 'global powers of luxury goods-2017' report by Deloitte). As per the survey conducted by Deloitte, 62% of the consumers in the emerging market are more inclined to purchase a luxury product compared to their inclination of the previous year (2016). Growth in the personal luxury goods industry is driven more by the emerging economies instead of the more matured markets like US or EU. However, since most of the luxury brands are based out of EU or US, there remains a significant price disparity within the luxury goods market. There is a premium charged in the Asian markets for all brands, pricing strategies differ, and the price variance between India and France can be amid 20 percent to over 70 percent, depending on the brand.



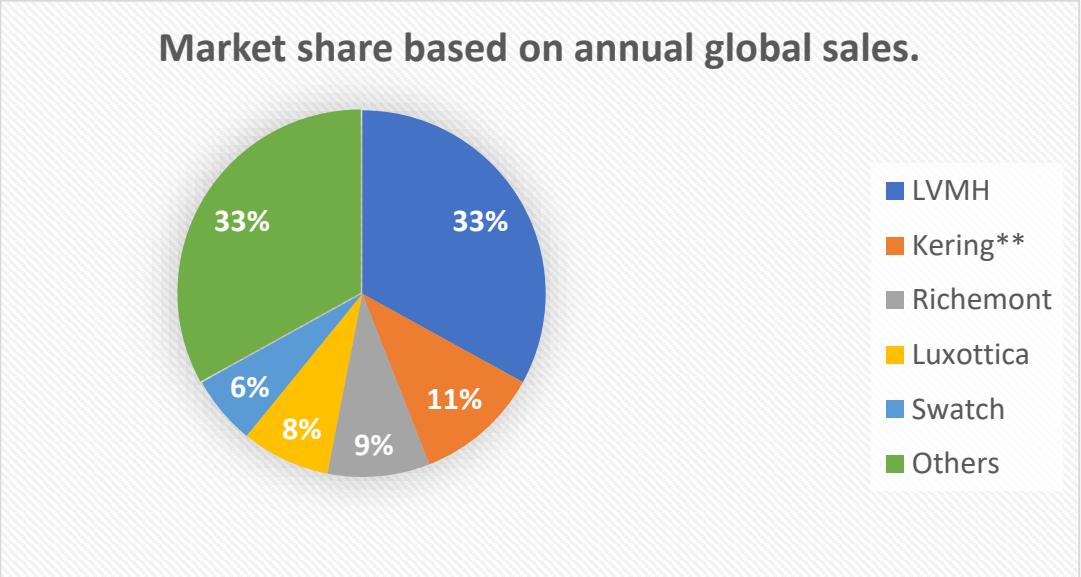
Source:
Luxury multi-country survey for global powers of luxury goods 2017 - Deloitte.

This recommends that luxury corporations still have a prospect to optimize their range and prices for local markets, to meet demand and safeguard balanced growth globally. Though the emerging markets share is around 35 percent in the global perspective, these can be the most vital markets for companies to have substantial growth, as nearly 60% of the consumers from the emerging markets are shopping abroad while travelling through airports or shopping destinations in the more matured markets. (Survey results of Deloitte). The survey asked consumers from different countries to choose in their last 12 months how many of their

luxury goods purchased took place in their home country or while abroad or at an airport while travelling. And illustrated in the figure above, the consumers from the emerging market clearly purchase outside their home country considering the price benefits in matured markets as the prices in the emerging economies majorly tend to be more by minimum 20% or so.

2.2 The Leading companies in the market

As per the global sales published in 'the Luxury and Cosmetics Financial Factbook 2017, page 13, by EY-Statista estimates', we can derive that more than 65% of the market sales are from the top 5 companies, LVMH being the largest conglomerate accounting for 33% of the annual sales for 2017 worldwide making it the biggest luxury goods company.



Considering that the top 5 companies have more than 65% of the global market share in terms of revenue; It does imply as per Investopedia, that the global personal luxury goods market is of '**supply oligopoly**' as it is a market assembly with some small numeral companies, none of which can have the others from having substantial influence. The concentration ratio measures the marketplace share of the largest organizations. There is no exact upper limit to the number of companies in an oligopoly, but the number must be little enough that the activities of one firm meaningfully influence that of others. Also, oligopolies exist because there are high entry costs in capital expenditures and a platform that gains value with more customers. Also, since price conflicts are easy to take place and damaging to the participants, oligopolies have a habit of using of non-price methods such as product differentiation, branding and marketing to upsurge their market share. All the above clearly indicate that the global personal luxury goods market is 'supply oligopoly' structure.

3 Porters five forces

The Michael E. Porter's five forces that shape strategy can help a company understand the structure of its industry and stake out a position that is more profitable and less vulnerable to attack. With a complete understanding of Porter's five forces, organizations can position their companies where the forces are the weakest, exploit changes in the forces and reshape the forces in the company's favour.

As per porter, the five forces that shape industry competition are:

- Threat of new entrants
- Bargaining power of suppliers
- Bargaining power of buyers
- Threat of substitutes
- Rivalry among existing competitors.

We'll analyse the above five forces in context to the 'personal luxury goods industry;

Threat of new entrants:

The threat from new entrants in the luxury industry are **comparatively low** due to long-term existence of luxury brands over decades. For e.g. LVMH was formed in 1987, Kering in 1963, Richemont in 1988 and each group has brands which have been operational over 50 years minimum so on. The competition among the participants is very high which makes it more difficult for new entrants to sustain. The luxury industry is capital intensive and thus new entrants may find it difficult to survive unless the companies have a strong back with heavy capital investment and historic significance. The market share is highly concentrated among the top 5 companies globally (As stated earlier). Also, the companies in the industry have a high reputation for quality and new incumbents will have a disadvantage of that. The personal luxury goods industry involves high marketing costs, extensive distribution network to be present globally, a very high break-even, high cost of brand establishment, maturity of market, presence of large firms with greater market share. All these factors combined make the industry highly resistant to the threat of new entrants as the risk is comparatively very low.

Bargaining power of suppliers:

The personal luxury goods industry suppliers are highly concentrated. There are limited number of highly skilled workers aware of the extreme quality standards of luxury goods. However, the suppliers have no possibility of forward integration due to strong branding by the companies. Majority of components are outsourced, so the industry is dependent on the existing suppliers, also switching to new suppliers may have a negative impact due to fluctuations in the quality standards, also the materials for most of the personal luxury goods possibly are rare and difficult to source which increases the dependency on the existing suppliers within the industry. However, the luxury goods companies are extremely powerful and wealthier in comparison to their manufacturers which reduces the negotiating power of suppliers considering the size of business and its global level presence. Multiple luxury companies are acquiring the suppliers by means of mergers and acquisitions. Thus, the bargaining power of suppliers is **moderate.**

Bargaining power of buyers:

The personal luxury industry is always associated with wealth and social prestige. The luxury brands develop high brand loyalty among consumers, this can result in emotional switching cost. (E.g. VIP clients of LV or Hermes receive gifts on their birthdays) Due to the global network of companies the buyers are highly unconcentrated. The luxury industry targets HNI consumers with readily available disposable income, thus the super affluent top tier customers perceive luxury as a way of life and price is not a determinant factor. Most of the customers of the industry are end consumers and thus there is lack of business reason for backward integration. Also, the size of companies with its global revenues are much powerful than a buyer's purchasing power thus resulting in **low** bargaining power of buyers.

Threat of substitutes:

Substitution can be very frequent within the industry. The buyers are indulging in the luxury goods to satisfy the emotional quotient of their life which can be satisfied by varied products. Luxury brand consumption is also inclined by a lot of aspects exterior to the industry, such as the growing popularity of internet shopping (Okonkwo, 2007), the increasing devotion that luxury brands obtain from mass media and increasing global travel. These movements make luxury products more accessible, and inspire the purchasing of luxury products. In addition, differing to cultural differences and the democratisation of luxury, these external trends also inspire communication and information sharing among the consumers of luxury brands, making consumer perceptions of luxury brands increasingly similar. Also, most of the luxury brands have similar product range. Thus, the threat of substitutes is **high,** also due to recent development in the quality of counterfeit products available on global level.

Rivalry among existing competitors:

The competitiveness in the business can be termed as **relatively high** but, given the big margins and the customer's perception about the price, the rivalry is not on price, but rather on quality and image perception, as well as on the ability to attract the right designers with right abilities. There are handful number of large companies that constantly compete for a higher market share. Also, the personal luxury goods industry is very capital intensive which makes the industry exit barriers much high. The competition is aggressive as the market is oligopoly and the handful of companies have existed for many years and their interesting historic brand stories and customer loyalty have helped them achieve bigger market share; most of the companies are exploiting economies of scope by acquiring different brands in their umbrella. LVMH has acquired more than 70 brands which are into wines & spirits, fashion and leather, perfumes and cosmetics, watches and jewellery and selective retailing. Each market player competing with LVMH is also has a similar approach.

4 Expert Opinion

by Mr. Neeraj Walia, CEO – Mont Blanc, India.

What are the current challenges of the industry in consideration of maximizing profits?

It is difficult to outline factors affecting profits but broadly, it can be extensive assortment of available options for our patrons, considering from the point of view of Mont Blanc, our clients select us over any other brand when it comes to the product range that we offer, but I would still believe that if a client is drenched from Mont Blanc they do have a wide range of brands to choose from within the same criteria as our brand.

Are the companies within the industry competing on price or quality, or any other determinants?

Mont blanc never strives on price for their core products as the company believes in quality 1st, but with my involvement within the industry I believe there is very diminutive competition on the price elements and more on quality and customer loyalty. Most brands are competing powerfully on client experience at the store level, each year companies are employing concepts to enhance the client experience. Because in luxury industry or at-least at Mont blanc we believe that 'a client may forget what you said and sold to them, but they will never forget how you made them feel'. And that is the emphasis for brands currently.

What strategies do companies adopt to make switching cost for consumers more difficult?

Luxury brands focus on giving the best experience to the clients and making an emotional connect with the brand. Celebrating birthdays, anniversary, enhancing a clients' experience by making the brand's Maison or workshop accessible to them are all the various means of connecting the brand and its clients emotionally which results in high switching costs.

How easy is it for competitors to enter the market and compete amongst its incumbents?

Absolutely difficult, most of the luxury brands have existed over centuries now, any new incumbent is no-where close to the historic heritage that the brands have had.

Do suppliers in your industry have negotiating powers over your company?

In my experience I believe very little, but even that has been further reduced as the brands and companies are acquiring that too. For example, Louis Vuitton now owns their own workshop that manufactures shoes in Italy.

Is counterfeiting considered as a threat of substitutes?

Counterfeiting is surely a threat to our industry, though not a substitute.

What is the next trend in the industry that companies are focusing on for the near future.

Very difficult to say as each brand is undertaking something different. Louis-Vuitton is working on opening more channels of online shopping in different countries whereas, Mont Blanc on the other hand is expanding its network of stores in markets like India.

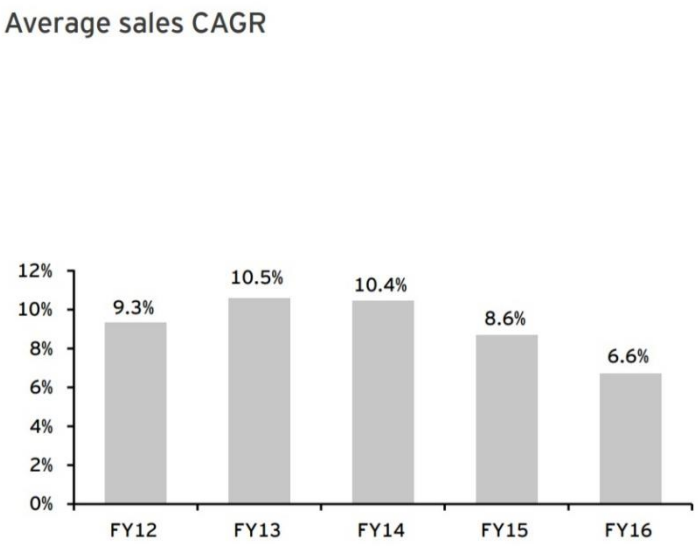
5 Future outlook of personal luxury goods industry

The global personal luxury market is likely to reach sales of over 490 billion euros by 2020, according to the report '*The luxury and cosmetics financial factbook 2017'* by the company Ernst & Young.

Considering the analyses and reports the evolution of personal luxury goods sector is motivated by emerging markets and the expansion of online networks.

"Trends in the luxury sector are changing rapidly, driven by the new digital consumer, who sees fashion from a different perspective and demands a more personalised relationship with brands. We are in a deeply disruptive moment in which, far from identifying a great trend that guides the sector's evolution, we are seeing different behaviours according to different categories and markets," said Patricia Fernandez Mesa, head of fashion retail at EY.

Referring to the reports by EY and Delloitte, we can derive that the luxury market is slowing down still showing significant growth levels due to a shift in consumer behaviour as more consumers are now combining high-end products with more affordable items. 'This is tied with the irruption of the digital phase, which has meant a direct influence on the global sales of the industry due to greater transparency and the facility to equate prices online. It has also contributed to a deterioration in footfall and in-store traffic', says the report by EY.



Source: The luxury and cosmetic factbook, 2016.

Published by: EY

According to the EY report, the change in the market in favour of these two segments has been fuelled by the rise of the middle class in countries including China and India, an increase in the price range of luxury products, traditional luxury consumers increasingly adding premium and fast-fashion products to their wardrobes and the rise of casualwear.

Also, the Deloitte report suggests that the growth in the personal luxury goods industry is driven by emerging market compared to more matured markets. And 70% consumers in the emerging markets claim to have increased their purchase compared to last year. Thus the growth in the personal luxury goods market can be derived to be substantial in the coming years even if it's at a declining trend compared to the trend of previous years.

6 Conclusion

The global personal luxury goods industry is tremendously lucrative with a value of 262 billion euros in 2017 with accessories business as the biggest group in the same. LVMH is the major player in the market comparing its sales for the previous year. The industry forces are extremely robust and have high entry barriers making it more profitable for the existing players and even with a declining growth rate in the last few years, the industry has had a considerable growth of 6.6% for the year 2016. The future movements in the industry can be an amalgamation of expansion of store network and digital portals for luxury shopping. The industry players are competing meticulously in enhancing the client experience and thereby creating customer loyalty. Simultaneously the companies are trying to exploit economies of scope by acquiring additional brands of different segments in their portfolio to gain higher market share and build a competitive advantage over others.

References

Okonkwo, U. (2007). Whats in the name? the history of luxury fashion branding. In *Luxury Fashion Branding* (pp. 13-58). Retrieved from https://checkout.palgrave.com/checkout/cart?0

Oxford Dictionary, (2018). *luxury* Retrieved from: http://www.oxforddictionaries.com/definition/english/luxury?q=luxury

Brun, A. & Castelli, C. (2013). "*The nature of luxury: a consumer perspective*". Retrieved from https://www-emeraldinsight-com.pxz.iubh.de:8443/doi/full/10.1108/IJRDM-01-2013-0006

Prendergast, G. & Wong, C., 2003. "*Parental influence on the purchase of luxury brands of infant apparel: an exploratory study in Hong Kong"*, Retrieved from https://www-emeraldinsight-com.pxz.iubh.de:8443/doi/full/10.1108/07363760310464613

Yuri, S. Margo Buchanan, O. (2015). *"Luxury branding: the industry, trends, and future conceptualisations", Asia Pacific Journal of Marketing and Logistics.* Retrieved from https://www.emeraldinsight.com/doi/full/10.1108/APJML-10-2014-0148

Olilgopoly: What is an 'oligopoly'. (n.d.). *Investopedia Web site.* Retrieved from https://www.investopedia.com/terms/o/oligopoly.asp

Arienti, P. (2017). *"Global powers of luxury goods 2017"*. Retrieved from https://www-statista-com.pxz.iubh.de:8443/study/45538/leading-luxury-companies-around-the-world-2017/

Bonacina, R. & Pier Mazzucchelli, M. (2016). *"The luxury and financial factbook"*. Retrieved from https://www.ey.com/Publication/vwLUAssets/EY-the-luxury-and-cosmetics-financial-factbook-2016/$FILE/EY-the-luxury-and-cosmetics-financial-factbook-2016.pdf

"Luxury Goods Worldwide - statista dossier". (2017). Retrieved from https://www-statista-com.pxz.iubh.de:8443/study/12091/luxury-goods-industry-worldwide-statista-dossier/

Declaration of Authenticity

Herewith I confirm that this paper is my own work, which was written without unauthorized assistance and that all references used are marked appropriately.

Berlin, 25.07.2018
Place, Date

Vinay Verhani
Signature